

Arabesc Contracting LLC

Investor Decision Memo — Three Paths Forward

Prepared July 2026 · Figures in UAE Dirhams (AED)

Where We Stand

The business has run out of working capital. Current investors have put in 1,325,000 AED to date, and the company owes 1,500,000 AED in payables to the market. Given the ongoing war situation and its impact on the market, patience for a slow recovery has run out. Three options are on the table, and we're asking investors to vote on which path to take.

Reality Check — read this before the vote

Both outside offers (Sardarji and the Irani buyer) value the deal at 1,300,000 AED. You owe 1,500,000 AED in payables. That leaves a 200,000 AED shortfall in BOTH options before any money can go back to investors.

As things stand, neither the Sardarji sale proceeds nor the Irani sale proceeds cover the 1.5M payables on their own — the honest starting point for the vote is that the 1,325,000 AED already invested is, for now, considered at risk, and the real question is which path gives the best remaining chance of ever recovering any of it, and who bears the ongoing risk from here.

Note on the amended Option 1: keeping the business operating (with Sardarji as subcontractor) gives a real path to closing the 200,000 AED gap and working toward capital recovery over time — but it is a path, not a guarantee. It depends on continued project work coming in and on Sardarji remaining reliable and available as the single subcontractor the business would now depend on.

Comparing the Three Options

	Option 1: Sardarji	Option 2: Irani Buyer	Option 3: Survive
Cash Today	0 AED (promise only)	1,300,000 AED upfront	Need to raise 400,000 AED — cash goes OUT, not in
Total Deal Value	1,300,000 AED, paid over 1 year, from factory/machine sale	1,300,000 AED, paid immediately	N/A — no sale
Certainty of Payment	Unsecured personal promise, spread over 12 months	Cash in hand at signing — highest certainty	Depends entirely on market recovery — lowest certainty
Covers the 1.5M Payables?	Not immediately — 200,000 AED short from sale proceeds alone, but ongoing operating income (see below) gives a path to closing it over time	No — 200,000 AED short even if all proceeds go to debt	No — 1.5M payables still owed and must be managed/negotiated regardless
Ownership & Operations After Deal	100% — business keeps operating, now asset-light, subcontracting fabrication/production to Sardarji	10% (90% sold to new buyer)	100%, full existing operations
Control After Deal	Full legal control, but operationally dependent on	Minority — new buyer controls decisions	Full control, full responsibility

	one subcontractor (Sardarji) for capacity		
Path to Recovering Investor Capital	Real but gradual — ongoing project income (via Sardarji as subcontractor) can first close the 200,000 AED gap, then work toward recovering the 1,325,000 AED invested. Depends on winning ongoing work and Sardarji's reliability	Limited near-term, but 10% could grow in value if new buyer invests and business scales	Only path with a shot at full recovery — but requires more cash in first, with no guarantee
Who Carries Future Risk	You — an asset-light operating business, now concentrated on a single subcontractor	Mostly the new majority buyer, who has deeper pockets	You and your existing investors, fully exposed to the war/market situation
Speed to Resolution	Slow, ongoing — 1 year to collect the sale proceeds, plus however long recovery via operations takes	Fast — resolved at signing	Slowest — success or failure plays out over the market cycle
Key Risk	Heavy dependency on one subcontractor — if Sardarji becomes unreliable, raises prices, or is poached, the operating model is exposed; sale payment itself remains unsecured	Investors are permanently diluted to a token stake with little influence	You may raise the 400K, cut costs, and still lose if the war/market doesn't turn

What Each Option Means for the Business

- Option 1 (Sardarji) trades ownership of the factory and machines for a deferred, unsecured promise — but the business keeps operating, now leaner, subcontracting production to Sardarji. This means there's a genuine chance to keep earning: first to close the 200,000 AED payables gap, then to work toward recovering the 1,325,000 AED invested. The trade-off is that the business becomes heavily dependent on one subcontractor for its ability to deliver work at all.
- Option 2 (Irani) trades majority control for immediate, certain cash and a well-capitalized partner. Investors' 10% stake only becomes meaningful if the new owner successfully grows the business — that upside is real but out of your investors' hands.
- Option 3 (Survive) is the only option that keeps full ownership and the possibility of a complete recovery, but it asks investors to commit new money to a business already under financial strain, with success dependent on a war situation nobody can time or control.

The Question for Your Investors

This is not simply "which option makes the most money" — each carries a different mix of certainty, control, and risk:

- Option 1: keeps the business alive and earning, with a real (if gradual and subcontractor-dependent) shot at recovering both the payables gap and the invested capital over time.
- Option 2: locks in the most certainty today, at the cost of control and most of the upside.
- Option 3: keeps the dream alive, at the cost of asking for more money into a business that has already lost money.

A neutral recommendation isn't possible without knowing your investors' individual risk tolerance and need for liquidity — some may prioritize certainty (Option 2), others may prioritize any chance, however small, of full recovery (Option 3). That's the conversation the vote should surface.

Investor Ballot

Please mark your preferred option:

☐	Option 1 — Sardarji: sell factory & machines for 1.3M AED, paid over 1 year; keep operating with Sardarji as our key subcontractor, aiming to recover both the payables gap and invested capital over time.
☐	Option 2 — Irani Buyer: sell 90% of the business for 1.3M AED upfront; keep a 10% stake.
☐	Option 3 — Survive: raise 400,000 AED in fresh capital, cut costs, and continue operating.

Name: _____ Signature: _____ Date: _____